

Expat FAQ: Home Insurance in Mexico

Purchasing property in Mexico as an expat involves unique legal and insurance considerations. This guide clarifies the most common questions regarding home insurance for foreign owners in Mexican territory.

1. Why do I need a Mexican Insurance Policy?

The most critical fact for any expat to understand is the **Invalidity of Foreign Policies**. US and Canadian homeowners' policies do not extend coverage to Mexican territory. To be legally recognized for Civil Liability (Third-Party Damage), the insurance policy must be issued by a carrier registered with the **CNSF (Comisión Nacional de Seguros y Fianzas)**. Without a local policy, you are effectively uninsured and legally vulnerable.

2. The Importance of the Fideicomiso (Bank Trust)

The "Named Insured" on the policy must exactly match the title of the property. For many expats, this means the policy must be in the name of their **Fideicomiso** (the bank trust) or the specific individuals named on the deed. Discrepancies can lead to significant delays or denials during the claims process.

3. Key Coverages Defined

Coverage Type	Description
Civil Liability	Protects against damage to third parties or neighbors (fire, water leaks).
Extraordinary Risks	Covers Hurricanes (Hydrometeorological) and Earthquakes.
Personal Property	Covers furniture, appliances, and electronics at Replacement Value.

4. Condo Owners: "Walls-In" Coverage

HOA master policies typically only cover common areas and the external structure. Individual owners require a "Walls-In" policy to protect interior finishes, personal belongings, and private

liability.